

This point is well illustrated by a comparison of Atchison and Union Pacific—two railroads of similar standing—over the ten-year period between January 1, 1915, and December 31, 1924.

Item	Per share of common	
	Union Pacific	Atchison
Earned, 10 years 1915–1924	\$142.00	\$137
Net adjustments in surplus account	<u>dr. 1.50*</u>	<u>cr. 13</u>
<i>Total available for stockholders</i>	\$140.50	\$150
Dividends paid	\$97.50	\$60
Increase in market price	<u>33.00</u>	<u>25</u>
<i>Total realizable by stockholders</i>	\$130.50	\$85
Increase in earnings, 1924 over 1914	9%†	109%†
Increase in book value, 1924 over 1914	25%	70%
Increase in dividend rate, 1924 over 1914	25%	none
Increase in market price, 1924 over 1914	28%	27%
Market price, Dec. 31, 1914	116	93
Market price, Dec. 31, 1924	149	118
Earnings, year ended June 30, 1914	\$13.10	\$7.40
Earnings, calendar year 1924	14.30	15.45

* Excluding about \$7 per share transferred from reserves to surplus.

† Calendar year 1924 compared with year ended June 30, 1914.

It is to be noted that because Atchison failed to increase its dividend the market price of the shares failed to reflect adequately the large increase both in earning power and in book value. The more liberal dividend policy of Union Pacific produced the opposite result.

This anomaly of the stock market is explained in good part by the underlying conflict of the two prevailing ideas regarding dividends which we have discussed in this chapter. In the following brief summary of the situation we endeavor to indicate the relation between the theoretical and the practical aspects of the dividend question.